

Matchbook Intake Assessment

From a Backend's Perspective

Executive Summary

The proposed buyer and seller intake criteria are broadly defensible for a business-acquisition platform. The information covers the major areas that become relevant when evaluating, matching, qualifying, and eventually completing the sale of a business.

The main concern is not that the information is unnecessary. The concern is that the current intake appears to combine information required at three different stages of the acquisition process:

1. **MARKETPLACE INTAKE:** Information needed to create a marketplace listing and generate matches.
2. **QUALIFICATION/ACCESS:** Information needed to qualify a serious buyer/seller.
3. **DUE DILIGENCE / TRANSACTION:** Documents needed for actual transaction due diligence.

Industry practice supports collecting core business, financial, acquisition, and buyer-capability information early, while more sensitive documentation such as tax returns, bank statements, general ledgers, and detailed financial records is generally handled later during qualified discussions and due diligence.

Therefore, the recommended approach is **progressive information collection rather than removing most of the proposed criteria.**

Seller Intake

Intake stage

- Business type
- General Location
- Years in operation
- Revenue
- SDE/EBITDA
- Asking price
- Owner involvement
- Employees
- Recurring revenue
- Customer concentration
- Financing preferences
- Transition period
- Desired closing timeline

Later stage

- Tax returns
- Bank statements
- General ledger
- Chart of accounts
- Detailed monthly sales reports
- Detailed balance sheets
- Customer contracts
- Other sensitive financial records

The seller should be able to create a profile and receive potential matches without immediately submitting their entire financial history

Buyer Intake

Intake stage

- Target business type
- Geography
- Purchase-price range
- Available capital
- Financing method
- Business experience
- Industry experience
- Desired ownership model
- Timeframe
- Relevant licenses
- Risk preferences
- Desired business characteristics
- Hours willing to work

Later stage

- Detailed financials
- Monthly living expenses
- Financing-specific identity info
- Household finances
- Spouse information
- Bankrupt history

The Buyer should be able to create a profile and receive potential matches without immediately submitting their entire financial history

Implication for Match-Book backend

This distinction should also be reflected in the system architecture.

The platform should separate information needed for **matching** from information needed for **qualification and due diligence**.

Conceptually:

Seller

- Business Profile
- Financial Profile
- Operational Profile
- Deal Preferences
- Due-Diligence Documents

Buyer

- Buyer Profile
- Acquisition Preferences
- Financial Capacity
- Operating Preferences
- Qualification Documents

THE FLOW

Profile → Match → Qualification → NDA → Due Diligence → Transaction

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Backend Architecture

Deterministic Matching Pipeline

Event-driven backend → candidate filtering → deterministic scoring → ranked matches

Event Layer

User actions generate domain events that trigger backend processing:

- BuyerCreated
- SellerCreated
- BuyerPreferencesUpdated
- SellerPreferencesUpdated
- BusinessProfileUpdated

Events are handled asynchronously so the API does not need to wait for matching to complete.

2. Task Processing

Redis + Celery

- Redis → task broker/cache
- Celery → executes background matching tasks
- Matching runs asynchronously after relevant events
- Prevents expensive matching operations from blocking API requests

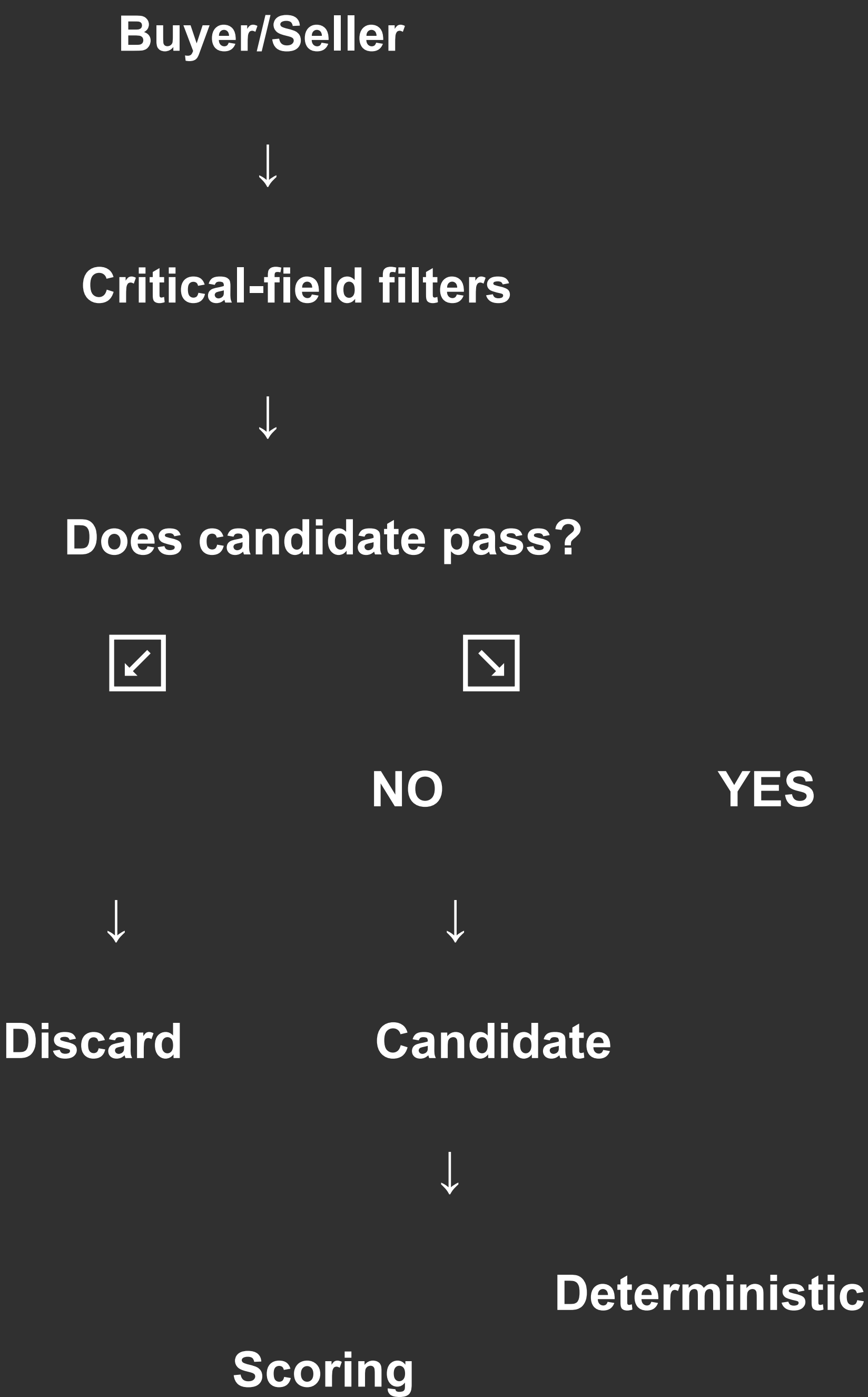
3. Candidate Filtering

- Buyer and seller attributes are classified into:
- **Critical → Important → Secondary**
- Critical attributes act as **hard filters**.

A candidate that fails a critical requirement **never reaches the ranking stage**.

Examples of critical constraints may include:

- Industry compatibility
- Geographic eligibility
- Purchase-price affordability
- Other true deal-breakers



Hierarchy Example:

Critical

Industry

Location

Price

Important

SDE

Owner involvement

Experience

Working hours

Secondary

Real estate preference

Transition preference

Lifestyle preferences

4. Deterministic Scoring

Candidates that pass the filter are scored against the **important and secondary attributes**.

Each attribute has predetermined:

- Compatibility rules
- Score ranges for preference based info
- Weights

The buyer's preference is then compared against the seller's business requirements using predetermined compatibility rules.

This allows **partial compatibility** rather than unnecessarily rejecting a candidate.

Example

Owner involvement

Instead of a binary Yes/No, use defined operating ranges:

0–5 hrs/week → Absentee

6–12 hrs/week → Minimally involved

13–30 hrs/week → Part-time

31+ hrs/week → Owner-operator

4. Weighted Ranking

Individual compatibility scores are combined using predetermined weights:

Overall Match Score = $\sum$ (Field Compatibility $\times$ Field Weight)

The result is a deterministic ranking of the candidates.

Current approach:

Same inputs + same rules + same weights = same match score

No ML or LLM is involved in the initial ranking system.

Future evolution:

Once Matchbook has sufficient historical interaction and transaction data, the deterministic ranking system can become the baseline for evaluating a learned ranking model.

Example

Next page

Deterministic Match Scoring — Example

Buyer

- Industry: Plumbing
- Location: Lagos
- Budget: ~~₦~~30M–~~₦~~50M
- Preferred owner involvement: 10–20 hrs/week
- Minimum SDE: ~~₦~~10M
- Ownership: Semi-absentee

Seller

- Industry: Plumbing
- Location: Lagos
- Asking Price: ~~₦~~40M
- Owner involvement: 15 hrs/week
- SDE: ~~₦~~12M
- Ownership: Semi-absentee

Step 1 — Critical Filter

Critical criterion	Result
Industry compatible	✓ Pass
Location compatible	✓ Pass
Price within budget	✓ Pass
Minimum SDE met	✓ Pass

→ **Candidate passes to scoring**

Attribute	Compatibility	Weight	Weighted Score
Industry	1.00	25%	0.25
Location	1.00	15%	0.15
Price	1.00	20%	0.20
SDE	0.80	15%	0.12
Owner involvement	0.90	10%	0.09
Ownership model	1.00	10%	0.10
Risk/deal preferences	0.70	5%	0.035
Overall Match		100%	0.945 = 94.5%

Result: 94.5% Match

The score is completely deterministic: **the same buyer + seller + scoring rules + weights will always produce the same result.**